



Like Oscar Wilde's love it has no name yet. Its presence is manifest, its effect palpably elevating. Somewhere between spring and summer, silently and unmourned bad news vacated its perch to allow a glimmer of expectation. You could perhaps call it the feelgood factor. It is too tender and tentative to be measured but it is not a faith without validation even if the dots that make the picture are largely anecdotal and not empirical. The big elephant on the table is the Sensex which moved from sub-10,000 levels to 14,000-plus even before the Congress scored a double century. It isn't just the ephemeral stock indices either. Cement sales in April registered a 13 per cent growth over the previous year. Tata Steel sales in April were up 31 per cent over April 2008. Auto sales which trawled in negative territory have crawled into positive, registering 11 per cent growth in April. The ABN Amro Purchasing Managers' Index touched 55.3, crossing 50 in April for the first time since October, which simply translates into intensified industrial activity and revival of domestic demand.

Yes, it could be argued that the qualitative conclusion is based on a thin quantitative sample. After all, hard objective data for March was depressingly negative. Yes, the month-on-month data, like purchasing index, looks good but year-on-year the picture is dismal. The Index of Industrial Production (IIP) at -2.3 recorded its worst performance in 16 years. Indeed, through 2008-09 the IIP grew by only 2.4 per cent. Meanwhile, exports shrank by 24 per cent in March and some like the Federation of Indian Export Organisations (FIEO) fear they may have shrunk by 33 per cent in April. Since October savings have been eroded and incomes destroyed as over 10 million jobs have been lost and many more are threatened, shackling consumers in a fear psychosis. But the past is not detaining entrepreneurial optimism. The alchemy of entrepreneurship after all is more chemistry than cost arithmetic. INDIA TODAY asked over 50 entrepreneurs and chief executives across the country as also the Board of INDIA TODAY Economists for their view on the state of the economy. The emerging consensus is that the worst is clearly over. Of course there will be sectors that will be hit but many believe that the shoots of recovery are already visible and a revival is possible by the third quarter of this financial year.

The confidence stems from the fact that globally the worst fears of a 1939-type depression seem to be receding. Besides, India is insulated by the complex diversity of its economy. Yes, it was gripped by fear. It suffered as foreign portfolio investors hit the escape button, crashing the mar-